Question 31 (2 marks)

Present value interest factors for an annuity of $1 for various interest rates (r) and numbers of periods (N) are given in the table. **2**

Table of present value interest factors

N \ r	*Interest rate per period as a decimal*			
	0.001	0.00125	0.0015	0.00175
300	259.07072	250.03980	241.43789	233.24180
330	280.95771	270.26900	260.13532	250.52386
360	302.19816	289.75411	278.01062	266.92278

A bank lends Martina $500 000 to purchase a home, with interest charged at 1.5% per annum compounding monthly. She agrees to repay the loan by making equal monthly repayments over a 30-year period.

How much should the monthly payment be in order to pay off the loan in 30 years? Give your answer correct to the nearest cent.

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